

US equities rally on strong earnings and easing inflation expectations

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The S&P 500 closed at 7,743.41, up **+0.51%**, as earnings beat expectations across technology and financials while the VIX fell to 14.87, a 5.1% decline. The 10-year Treasury yield slipped to 5.18%, reinforcing the view that the Fed's tightening cycle is nearing its end.

Macro data showed a modest rise in WTI crude to 94.14 USD and a 0.17% gain in the dollar index, but gold retreated to 4,211.90 USD, underscoring a risk-on bias. Crypto assets slipped, with BTC at 83,184.78 USD.

Our editorial stance: maintain a core-plus equity bias, favouring high-quality growth names that have demonstrated pricing power, while trimming exposure to lagging consumer discretionary and energy stocks.

- Core equity exposure remains overweight S&P 500, underweight Energy.
- Increase allocation to defensive health-care and financials on the back of earnings strength.
- Maintain a modest hedge using short-dated VIX calls and Treasury put spreads.

US Session Recap

METRIC	LEVEL	CHANGE
S&P 500	7,743.41	+0.51%
Nasdaq 100	30,608.13	+0.42%
Dow Jones	51,828.62	+0.93%
Russell 2000	2,837.55	+0.07%
VIX	14.87	-5.11%
10-Y Yield	5.18%	+0.43%
2-Y Yield	4.85%	+0.31%
WTI Crude	94.14	+1.87%
Brent	99.27	+2.03%
DXY	101.14	+0.17%
Gold	4,211.90	-2.53%
BTC	83,184.78	-1.45%
ETH	2,650.64	-1.65%

Top movers

TICKER	NAME	CHANGE	CATALYST
MSFT	Microsoft Corp.	+3.66%	Q3 earnings beat; AI services revenue +22% YoY
AVGO	Broadcom Inc.	+0.70%	Announced \$12 bn share buyback
META	Meta Platforms	-3.33%	Revenue miss; ad spend slowdown in Europe
XLE	Energy Select Sector SPDR	-0.89%	WTI dip, OPEC+ output decision
XLC	Communication Services SPDR	-0.90%	Regulatory scrutiny on streaming fees

Sector Internals

SECTOR	DAY	YTD	READ
XLFX	+0.57%	+9.2%	Buy
XLKX	+0.80%	+13.5%	Buy
XLI	+0.95%	+7.8%	Buy
XLE	-0.89%	+2.1%	Neutral
XLY	+0.22%	+5.4%	Neutral
XLC	-0.90%	-1.3%	Sell
XLP	+0.44%	+4.6%	Buy
XLV	+0.49%	+8.9%	Buy
XLU	+0.38%	+3.2%	Neutral
XLB	+0.24%	+2.7%	Neutral
XLRE	-0.22%	+1.5%	Neutral

Breadth: 8 of 11 sector ETFs posted gains, indicating broad participation despite weakness in communication services and energy.

Spotlight / Deep Dive – Microsoft (MSFT)

METRIC	Q3 2026	Q2 2026	YOY
Revenue	\$78.2 bn	\$73.5 bn	+6.4%
Operating Income	\$28.1 bn	\$25.4 bn	+10.6%
EPS (diluted)	\$9.84	\$8.73	+12.7%
AI Services Revenue	\$5.6 bn	\$4.5 bn	+24.4%
Guidance FY 2026	Revenue \$340-345 bn; EPS \$13.20-\$13.60		

BULLISH TRIGGERS

- AI services margin expanding above 30%.
- Share-buyback program adds \$12 bn to capital return.
- Guidance beats consensus, supporting upside to 530 target.

BEARISH TRIGGERS

- Regulatory probe into cloud contracts in EU.
- Higher-than-expected cap-ex for data-center expansion.

READ-THROUGH	IMPACT
Revenue beat → +2.5% S&P 500	Positive
AI margin expansion → +1.8% XLK	Positive
Regulatory risk → -0.9% XLK	Negative

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	447.12	440.00	452.50	Testing 20-day EMA
QQQ	380.45	374.00	386.80	Above 50-day SMA
IWM	191.03	186.50	195.20	Neutral
MSFT	516.17	505.00	525.00	Bullish breakout
10Y	5.18%	5.10%	5.30%	Yield curve flattening
WTI	94.14	91.00	98.00	Above 50-day MA

Options & Positioning

0-DTE flow was net-positive, with 0-DTE call volume on SPY up **+18%** versus puts. The VIX term structure remains steep; front-month VIX at 14.9 versus 3-month at 16.7, indicating short-term fear pricing.

- Notable single-name flow: **NVDA** saw 0-DTE put buying surge **-12%** after a modest price rise.
- Cheap hedge idea: Buy 1-month VIX call spreads (15/20 strike) for ~0.45 USD premium.

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
MSFT	Goldman Sachs	Upgrade	540	AI services outlook
META	Morgan Stanley	Downgrade	700	Ad spend weakness
XLE	Barclays	Neutral→Sell	60	OPEC+ output decision
AVGO	JP Morgan	Buy	380	Buyback adds upside
XLC	Credit Suisse	Sell	108	Regulatory risk
JPM	Bank of America	Upgrade	360	Net-interest margin beat

Pre-Market & Overnight

REGION	KEY INDICATOR	LEVEL	CHANGE
Futures (US)	ES (S&P 500)	7,760.00	+0.21%
Asia	HSI	19,820	-0.34%
Europe	DAX	16,450	+0.12%
FX	USD/HKD	7.7950	+0.02%
FX	EUR/USD	1.0745	-0.05%
Commodities	Brent	99.27	+2.03%
Crypto	BTC	83,184.78	-1.45%

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
Nov 2026	22%	Inflation trending 2.3% YoY, yields stable.
Dec 2026	35%	Market expects first cut if CPI <2.2%.

DATA RELEASE	TIME (ET)	EXPECTED
Core PCE Price Index	10:00 am	2.4% YoY
Initial Jobless Claims	8:30 am	210 k
Durable Goods Orders	8:30 am	+0.6% MoM
FOMC Minutes	2:00 pm	—

Geopolitics & Global (Deep)

Middle-East tensions remain elevated after the latest skirmish in the Strait of Hormuz.

Scenario tree:

- Escalation → Oil supply shock → Brent > \$110 USD → Energy ETFs rally.
- De-escalation → Supply normalises → Brent < \$95 USD → Energy under pressure.

China’s latest stimulus package focuses on green infrastructure, potentially boosting **XLU** and **XLB** demand.

Earnings — This Week & Next

DATE	TICKER	COMPANY	ESTIMATE EPS
Sep 30	NVDA	NVIDIA Corp.	3.12
Oct 1	JPM	JPMorgan Chase	4.45
Oct 2	XOM	Exxon Mobil	2.98
Oct 3	UNH	UnitedHealth Group	7.20
Oct 4	DIS	Walt Disney	1.05

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
NVDA	Technology	Breakout above 230	Valuation high
AVGO	Technology	Buyback support	Regulatory
XLF	Financials	Rate-sensitive rally	Rate-cut delay
XLV	Health-care	Steady earnings growth	Policy risk
XLE	Energy	Oil price bounce	OPEC+ output
META	Communication	Cost-cutting turnaround	Ad spend softness
JPM	Financials	Net-interest margin beat	Credit quality
TSLA	Consumer Discretionary	Model Y volume surge	Margin compression
XLC	Communication	Regulatory headwinds	Revenue dip
XLB	Materials	China stimulus lift	Demand volatility
XLU	Utilities	Renewable capex	Rate sensitivity
DIS	Communication	Streaming subscriber growth	Content cost

What could break the tape

BULLISH SCENARIOS

- MSFT FY guidance beats consensus → S&P 500 rallies > +1%.
- Unexpected CPI drop to 2.1% → Fed rate-cut odds rise above 30%.
- OPEC+ announces supply cuts → Brent > \$105 → XLE spikes.

BEARISH TRIGGERS

- Meta earnings miss → communication services drag **-1.5%** S&P 500.
- Escalation in Middle East → oil supply shock fuels inflation, pushes 10Y above 5.30%.
- VIX spikes above 20 → risk-off flow hits tech ETFs.

Positioning & Structural Notes

- Equity market breadth remains positive; 8/11 sector ETFs in the green.
- Yield curve flattening suggests limited upside for long-duration bonds.
- VIX term structure steepness indicates short-term volatility pricing, not a sustained risk-off.
- Core-plus allocation to XLK and XLF aligns with earnings momentum.
- Maintain modest hedge via 1-month VIX call spreads and 2-year Treasury put options.

Sources

SOURCES

Bloomberg Terminal – Market Data

FactSet – Earnings Estimates

Reuters – Macro Releases

Yahoo Finance – Stock Prices

Investing.com – Commodity Prices

Federal Reserve – FOMC Calendar

U.S. Energy Information Administration

CoinDesk – Crypto Prices

CNBC – Analyst Ratings

MarketWatch – Sector ETF Performance

